CONFIDENTIAL I PRODUCT STRATEGY ANALYSIS

Product Teardown: Zepto’s Zero-Friction Checkout

A Deep Dive into Retention Mechanics & Unit Economics

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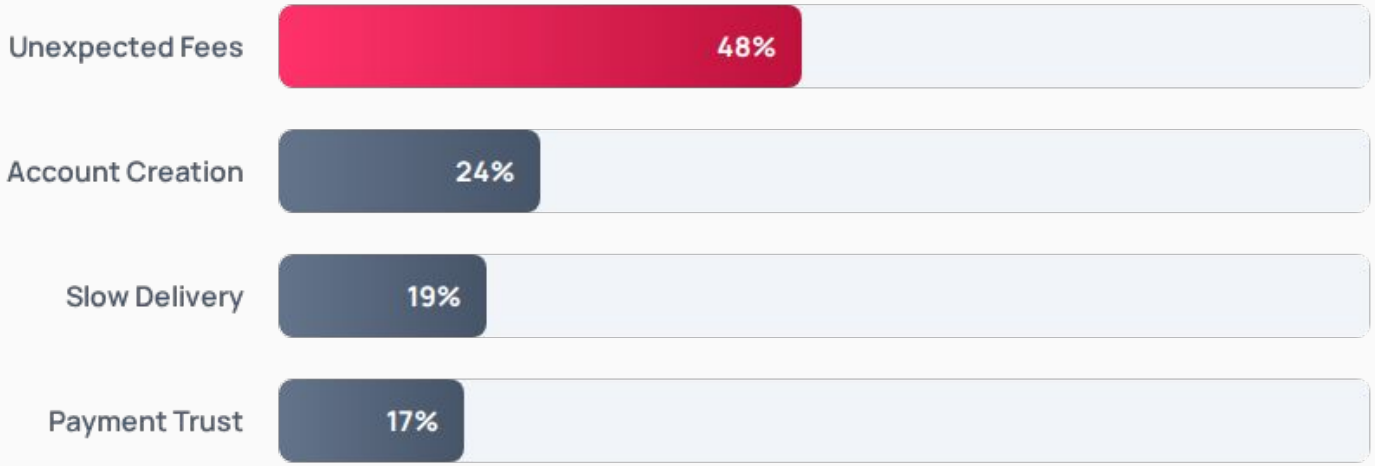
MARKET RESEARCH

The "Why": Cart Abandonment Data



Research Source: Baymard Institute, 2024 E-commerce Checkout Usability Study.
Unexpected costs are consistently the #1 reason for churn at checkout.

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COMPETITIVE ANALYSIS

Competitive Landscape: The "Fee Stack"

Feature / Cost	Zepto	Competitor A (Instamart)	Competitor B (Blinkit)
Surge Fees	**₹0 (Standard)**	Dynamic (₹20-50)	Dynamic (₹15-35)
Platform/Handling Fee	**₹0**	₹2 - ₹5	₹2 - ₹4
Small Cart Fee	Transparent (< ₹99)	Dynamic	Dynamic
Rain/Weather Fee	**Rare / ₹0**	Frequent	Frequent

*Data based on comparative basket analysis in Metro T1 Cities (Mumbai/Bangalore) during peak hours.

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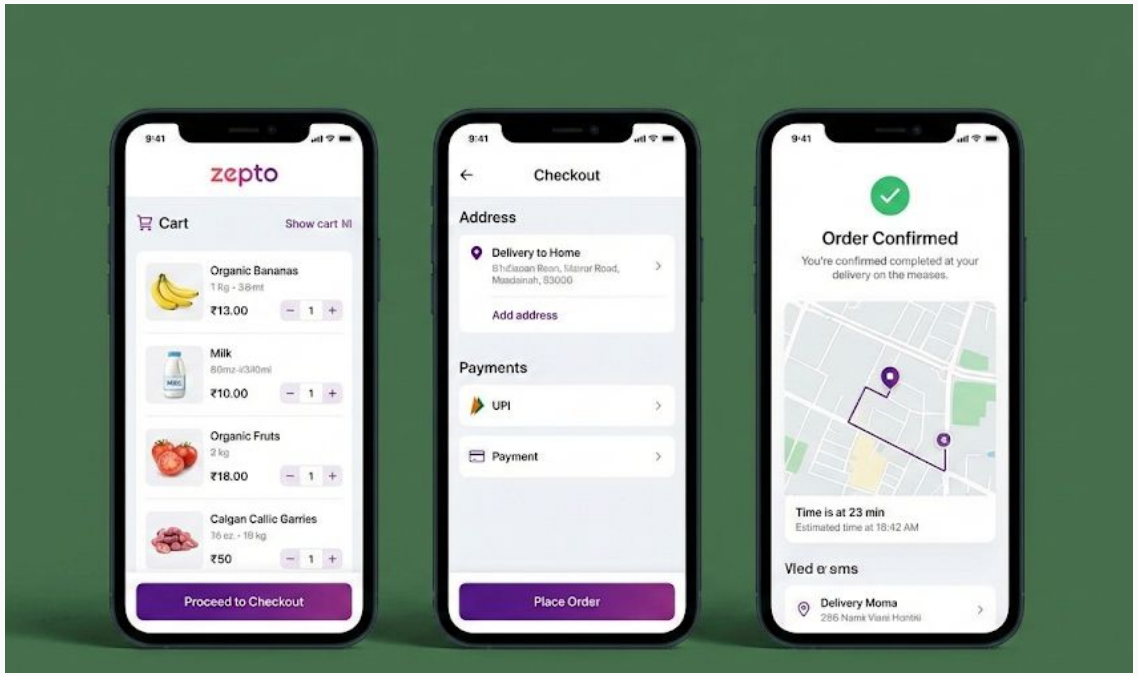
UX MECHANICS

The "Aha" Moment at Checkout

Defying User Expectations

Users have been conditioned by the market to expect "Drip Pricing"—fees added at the final step.

Zepto disrupts this pattern. By matching the final cart value to the mental sum, they significantly reduce cognitive load.



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PROBLEM STATEMENT

The Industry Anti-Pattern

Surge Anxiety

Dynamic pricing creates a "Variable Negative Reward," forcing users to second-guess purchase timing.

Drip Pricing

Revealing mandatory fees only at payment is a dark pattern that spikes churn rates.

Decision Fatigue

Each additional line item requires a micro-evaluation, slowing down Time-to-Value (TTV).

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QUALITATIVE RESEARCH

Voice of the Customer: Sentiment Analysis

"Honestly, the main reason I switched to Zepto is I don't feel cheated at checkout. 100 rs item is 100 rs."

Rahul M. (via Twitter)

"Every other app wanted 40rs surge fee for rain. Zepto was flat pricing. Win."

Ananya S. (via App Store)

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Critical Analysis: The Trade-off

The Risk: Burn Rate

By absorbing these costs, Zepto increases their CAC and operational burn. This is a "Loss Leader" strategy applied to logistics.

The Bet: LTV & Retention

The hypothesis is that the LTV (Lifetime Value) of a loyal user who trusts the platform outweighs the short-term cost of subsidizing delivery fees.

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KEY TAKEAWAY

"In high-frequency commerce, friction is the enemy of frequency."